Maonga Ndonye Associates

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RECEIVED
23 JUL 2012
NAIROBI SECURITIES EXCHANGE LTD.

20 July 2012

Our ref: MNA/29/07/2012

The Chief Executive
Nairobi Securities Exchange Limited
Nation Centre, 1st Floor
Kimathi Street
NAIROBI

Dear Sir

EAAGADS LIMITED

Following the Board Meeting of the above Company held today 20 July 2012, we enclose the Company's Income Statement and the Statement of Financial Position for the Financial Year ended 31 March 2012.

The Directors recommended payment of a first and final dividend of Kshs 1.25/- per ordinary share for the Financial Year ended 31 March 2012.

The Directors also recommended that subject to all the relevant approvals, to issue bonus shares in the ratio of 1:1 and that the bonus shares to be issued shall not qualify for dividend in respect of the Financial Year ended 31 March 2012.

Subject to the shareholders' approval, the Register of Members will be closed from Friday, 21 September 2012 at 4.30 p.m. to Monday, 24 September 2012 at 4.30 p.m. (both days inclusive). Kindly advise all Stockbrokers accordingly.

Payment will be made on 16 November 2012.

The Annual General Meeting will be held on 21 September 2012.

Please note that the above results together with the relevant commentary will be published in the local newspapers.

Yours faithfully

J L G Maonga
Company Secretary

JLGM/skn

cc The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road, Upperhill
NAIROBI

The Chief Executive
CDSC
Nation Centre, 10th Floor
Kimathi Street
NAIROBI

Livingstone Registrars Limited
Deloitte Place
Waiyaki Way, Muthangari
NAIROBI

EAAGADS LIMITED

ANNOUNCEMENT OF AUDITED RESULTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2012

The directors of Eaagads Limited are pleased to announce the audited results for the financial year ended 31 March 2012

Statement of Comprehensive Income

	2012 (12 months) Shs'000'	2011 (15 months) Shs'000'
Revenue	157,075	184,597
Cost of Production	(103,161)	(123,236)
Gross Profit	**56,065**	**116,146**
Profit/(loss) before taxation	**36,178**	**101,480**
Income Tax(expense)/credit	(14,373)	(29,696)
Profit/(loss) for the year	**21,805**	**71,784**
Basic Earnings/ per share (Shs per share)	1.36	4.46

Statement of Financial Position

	2012 (12 months) Shs'000'	2011 (15 months) Shs'000'
EQUITY		
Share capital	20,098	20,098
Revaluation Surplus	280,685	68,117
Retained Earnings	180,666	178,030
Non-current liabilities	87,377	74,073
Total Equity and non current liabilities	**573,356**	**354,922**
REPRESENTED BY:-		
Non Current Assets	488,369	268,119
Net Current Assets	84,987	86,803
	573,356	**354,922**

Statement of Cash Flow

	2012 (12 months) Shs'000'	2011 (15 months) Shs'000'
Net Cash generated from operating activities	20,017	235
Net Cash used in Financing Activities	(20,098)	-
Increase in cash and cash equivalents	(81)	235
Movement in cash and cash equivalents		
Beginning of the period/year	605	370
Cash and cash equivalents at end of the period	**524**	**605**

Statement of Changes in Equity

	Share capital Shs '000'	Revaluation surplus Shs'000'	Revenue reserves '000'	**TOTAL**
At 1 January 2010	20,098	69,345	105,018	194,461
Profit for the period	-	-	71,784	71,784
Transfer of excess depreciation	-	**(1,754)**	1,754	-
Deferred income tax on transfer	-	526	(526)	-
Dividends paid	-	-	-	-
At 31 March 2011	**20,098**	**68,117**	**178,030**	**266,245**
At 1 April 2011	20,098	**68,117**	**178,030**	266,245
Profit for the period			21,805	21,805
Total comprehensive income for the year	-	213,497	21,805	235,302
Transfer of excess depreciation		(1,327)	1,327	
Deferred income tax on transfer		398	(398)	
Dividends paid - 2011 final			(20,098)	(20,098)
At end of period	-	**280,685**	**180,666**	**481,449**

PERFORMANCE:- Despite the challenges of 2011/2012 financial year ended 31 March 2012, the Company was able to achieve average yields of 2.18 tons of clean coffee per mature hectare and is looking to improve on this trend.

International coffee prices remained stable and the Company benefited from relatively high prices offered by buyers for high quality and certified coffees. The Company continue being a major and active player in the Kenyan coffee sector.

The Company recorded an operating profit of Kshs 21.8 Million compared to Kshs 71.8 Million achieved during the 15 months' financial period that ended 31 March 2011. The decrease in operating profit is attributable to the reduced gains arising from changes in fair value of biological assets amounting to Kshs 2.1 Million recorded during the year compared to Kshs 54.8 Million in the previous finacial period. Gains arising from changes in fair value of biological assets are not distributable.

DIVIDEND:- The Board of Directors have recommended a first and final dividend of 100% equivalent to Kshs 1.25 per ordinary share payable on or about 16 November 2012 to the shareholders registered in the books of the Company as at the close of business on 21 September 2012.

CLOSURE OF REGISTER:- Subject to the shareholders' approval, the Register of Members will be closed from Friday, 21 September 2012 at 4.30 p.m. to Monday, 24 September 2012 at 4.30 p.m. (both days inclusive).

BONUS:- The Directors have recommended that subject to receipt of all the relevant approvals, to issue bonus shares in the ratio of 1:1. The bonus shares to be issued shall not qualify for dividend in respect of the Financial Year ended 31 March 2012. The qualifying date will be fixed by the Directors after receipt of the necessary approvals.

ANNUAL GENERAL MEETING (AGM):- The AGM for the year 2012 will be held on Friday 21 September 2012 at Eaagads Estate, Mangu Road, Thika at 11.00 a.m. Transport to the venue of the AGM will be available at Blue Post Hotel, Thika on 21 September 2012 at 10.00 a.m.

BY ORDER OF THE BOARD

L.A. OMARIBA
CHAIRMAN
20 JULY 2012

EAAGADS LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2012

	Note	2012 (12 months) Shs'000	2011 (15 months) Shs'000
SALES	5	157,075	184,597
Gains arising from changes in fair value less estimated point-of-sale costs of biological assets	13	2,151	54,785
COST OF PRODUCTION		(103,161)	(123,236)
GROSS PROFIT		56,065	116,146
OTHER INCOME	6	679	2,848
ADMINISTRATIVE EXPENSES		(20,557)	(17,528)
NET FOREIGN EXCHANGE (LOSS)/GAIN		(9)	14
PROFIT BEFORE TAXATION	7	36,178	101,480
TAXATION CHARGE	9(a)	(14,373)	(29,696)
PROFIT FOR THE YEAR/PERIOD		21,805	71,784
OTHER COMPREHENSIVE INCOME			
Surplus on revaluation of property and equipment		221,907	-
Deferred tax thereon	19	(8,410)	-
Total other comprehensive income		213,497	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR/PERIOD		235,302	71,784
EARNINGS PER SHARE			
- BASIC AND DILUTED	11	1.36	4.46

EAAGADS LIMITED

STATEMENT OF FINANCIAL POSITION

AT 31 MARCH 2012

	Note	2012 Shs'000	2011 Shs'000
ASSETS			
Non-current assets			
Property, plant and equipment	12	307,723	89,623
Biological assets	13	180,430	178,279
Prepaid operating lease rentals	14	216	217
		488,369	268,119
Current assets			
Inventories	15	6,877	5,589
Receivables	16	6,566	5,279
Due from related parties	17(b)	69,291	75,330
Taxation recoverable	9(c)	1,729	-
Bank and cash balances		524	605
		84,987	86,803
Total assets		573,356	354,922
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	18	20,098	20,098
Revaluation surplus		280,386	68,117
Revenue reserves		180,965	178,030
Shareholders' funds		481,449	266,245
Non-current liabilities			
Deferred taxation	19	81,881	71,073
Post-employment benefit obligations	20	5,496	3,000
		87,377	74,073
Current liabilities			
Due to related parties	17(c)	1,285	801
Trade and other payables	21	2,995	3,009
Provision for liabilities and charges	22	250	185
Taxation payable	9(c)	-	10,609
		4,530	14,604
Total equity and liabilities		573,356	354,922

EAAGADS LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2012

	Share capital Sh'000	Revaluation surplus Sh'000	Revenue reserves Sh'000	Total Sh'000
At 1 January 2010	20,098	69,345	105,018	194,461
Profit for the period	-	-	71,784	71,7984
Other comprehensive income for the period	-	-	-	-
Total comprehensive income for the period	-	-	71,784	71,784
Transfer of excess depreciation	-	(1,754)	1,754	-
Deferred income tax on transfer	-	526	(526)	-
At 31 March 2011	20,098	68,117	178,030	266,245
At 1 April 2011	20,098	68,117	178,030	266,245
Profit for the period	-	-	21,805	21,805
Other comprehensive income for the year	-	213,497	-	213,497
Total comprehensive income for the year	-	213,497	21,805	235,302
Transfer of excess depreciation	-	(1,754)	1,754	-
Deferred income tax on transfer	-	526	(526)	-
Dividends paid - 2011 final	-	-	(20,098)	(20,098)
At 31 March 2012	20,098	280,386	180,965	481,449

The revaluation surplus represents solely the surplus on the revaluation of buildings, plant and machinery net of deferred income tax and is non-distributable.

The revenue reserves balance represents the amount available for dividend distribution to the shareholders of the company.

EAAGADS LIMITED

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2012

	Note	2012 (12 months) Shs'000	2011 (15 months) Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	23(a)	44,330	7,912
Tax paid	9(c)	(24,313)	(7,677)
Net cash generated from operating activities		20,017	235
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends paid	10	(20,098)	-
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(81)	235
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR/PERIOD		605	370
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR/PERIOD	23(b)	524	605